

Multiple Choice

1. **Answer:** D

Options: A) total revenues from production are equal to implicit costs.; B) total revenues from production are equal to explicit costs.; C) explicit costs are higher than implicit costs.; D) total revenues from production are equal to the sum of explicit and implicit costs.; E) total revenues from production are lower than the sum of explicit and implicit costs.

Note: Correct option: D - total revenues from production are equal to the sum of explicit and implicit costs.

2. **Answer:** A

Options: A) An increase in printing costs; B) Expectations of future surpluses; C) A decrease in the demand for a substitute in production; D) An increase in the literacy rate; E) A decrease in the cost of labor for bookbinding

Note: Correct option: A - An increase in printing costs

3. **Answer:** C

Options: A) The debt is the sum of all past and future deficits.; B) When the debt is positive the deficit decreases.; C) When the deficit is negative the debt decreases.; D) The deficit is the accumulation of past debts.; E) When the debt is negative the deficit decreases.

Note: Correct option: C - When the deficit is negative the debt decreases.

4. **Answer:** A

Options: A) Society does not get enough output.; B) There is perfect competition in the market, leading to an efficient outcome.; C) Monopolistically competitive firms produce at the minimum of the average cost curve.; D) There is a socially efficient allocation of resources.; E) The firm's profits are minimized, leading to an equitable distribution of resources.

Note: Correct option: A - Society does not get enough output.

5. **Answer:** A

Options: A) $TFC = AVC$ at all levels of output.; B) $AVC + AFC = TC$.; C) $TFC = TC$ at all levels of output.; D) $MC = AVC + AFC$.; E) $AFC = TC - AVC$.

Note: Correct option: A - $TFC = AVC$ at all levels of output.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'decrease by \$29 million.'
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** The short-run Phillips curve is downward sloping and the long-run Phillips curve is vertical.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** An increase in the fraction of deposits that must be held by banks. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key